

26STCP02109 26STCP02109

County: los-angeles

Division: Civil Law and Motion

Department: 511

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Case Number: 26STCP02109 Hearing Date: August 6, 2026 Dept: 511

Tentative Ruling

Judge Upinder S.

Kalra, Department 511

HEARING DATE: August

6, 2026

CASE NAME: Curcap,

LLC v. Certain Statutorily Defined Interested Parties

CASE NO.: 26STCP02109

PETITION

TO APPROVE TRANSFER STRUCTURED SETTLEMENT RIGHTS

MOVING PARTY: Petitioner

Curcap, LLC

RESPONDING PARTY(S): None

REQUESTED RELIEF:

1. An

order approving the petition for transfer of structured settlement payment rights.

TENTATIVE RULING:

1. Petition

to approve transfer of structured settlement rights is DENIED.

STATEMENT OF MATERIAL FACTS AND/OR PROCEEDINGS:

On June 5, 2026, Petitioner Curcap, LLC (Petitioner) filed a petition for approval of transfer of structured settlement rights.

On June 9, 2026, Petitioner filed notice of hearing.

On July 17, 2026, Petitioner filed the operative first amended petition and notice of hearing.

LEGAL STANDARD:

California Insurance Code section 10139.5 provides that a transfer of structured settlement payment rights is not effective unless the transfer has been approved in advance in a final court order based on the following express findings by the court that: 1. The

The transfer is in the best interest of the payee, taking into account the welfare and support of the payee's dependents. 2. The

The payee has been advised in writing by the transferee to seek independent professional advice regarding the transfer and has either received that advice or knowingly waived that advice in writing. 3. The

The transferee has provided the payee with a disclosure form that complies with Section 10136 and the transfer agreement complies with Sections 10136 and 10138. 4. The

The transfer does not contravene any applicable statute or the order of any court or other government authority. 5. The

The

payee reasonably understands the terms of the transfer agreement, including the terms set forth in the disclosure statement required by Section 10136. ۞۞۞

The payee understands and does not wish to exercise the payee's right to cancel the transfer agreement. ۞۞۞

(Ins. Code § 10139.5(a).) ۞۞۞

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When determining whether the proposed transfer should be approved, including whether the transfer is fair, reasonable, and in the payee's best interest, the court shall consider the totality of the circumstances, including, but not limited to: (1) the reasonable preference and desire of the payee to complete the proposed transaction, taking into account the payee's age, mental capacity, legal knowledge, and apparent maturity level; (2) the stated purpose of the transfer; (3) the payee's financial and economic situation; (4) the terms of the transaction, including whether the payee is transferring monthly or lump sum payments or all or a portion of his or her future payments; (5) whether the future periodic payments were intended to pay for future medical care of the payee related to the incident that was the subject of the settlement; (6) whether the payee has other means of income or support sufficient to meet the payee's future financial obligations for support of payee's dependents, such as child support; (7) whether there were previous transactions involving payee's structured settlement payments; and (8) whether the payee and his or her dependents are facing a hardship situation. (Ins. Code § 10139.5(b).) ۞۞۞۞

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Procedurally, Insurance Code section 10136 provides that ten or more days before the payee executes a transfer agreement, the transferee shall provide the payee ۞ with a separate written disclosure statement, accurately completed with the information that applies to the transfer agreement in at least 12-point type. (Ins. Code § 10136(b).) ۞۞۞۞

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The court-approval process requires the transferee to file a petition in the county in which the transferor resides for approval of the transfer. (Ins. Code § 10139.5(f)(1).) In addition, the following elements are required to be served and filed not less than 20 days prior to the scheduled hearing on any application for approval of a transfer of structured settlement payment rights:

A copy
of the transferee's current and any prior petitions.

A copy
of the transfer agreement.

A
listing of each of the payee's dependents, together with each dependent's age.

A
copy of the disclosure required in subdivision (b) of Section 10136.

A
copy of the annuity contract, if available.

A
copy of any qualified assignment agreement, if available.

A
copy of the underlying structured settlement agreement, if available.

If a
copy of a document described in subparagraph (E), (F), or (G) is unavailable or cannot be located, then the transferee is not required to attach a copy of that document to the petition or notice of the proposed transfer if the transferee satisfies the court that reasonable efforts to locate and secure a copy of the document have been made, including making inquiry with the payee. If the documents are available, but contain a confidentiality or nondisclosure provision, then the transferee shall summarize in the petition the payments due and owing to

the payee, and, if requested by the court, shall provide copies of the documents to the court at a scheduled hearing.¿¿¿

Proof

of service showing compliance with the notification requirements of this section.¿¿¿¿

Notification

that any interested party is entitled to support, oppose, or otherwise respond to the transferee's application, either in person or by counsel, by submitting written comments to the court or by participating in the hearing.¿¿¿

Notification

of the time and place of the hearing and notification of the¿manner in which¿and the time by which written responses to the application must be filed, which may not be less than 15 days after service of the transferee's notice, in order to be considered by the court.¿¿¿

If

the payee entered into the structured settlement at issue within five years prior to the date of the transfer agreement, then the transferee shall provide notice to the payee's attorney of record at the time the structured settlement was created, if the attorney is licensed to practice in California, at the attorney's address on file with the State Bar of California. The notice shall be delivered by regular mail.¿¿¿

¿(Ins. Code § 10139.5(f)(2))¿¿¿

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Lastly, the

court¿shall retain continuing jurisdiction to interpret and monitor the implementation of the transfer agreement as justice requires.¿ (Ins. Code § 10139.5(i).)¿¿¿

ANALYSIS:

Petitioner seeks approval of the transfer of rights to a structured settlement payment.¿

Payee Darrick Collins (Payee) became entitled to an annuity contract (the Policy) with payor Prudential Assigned Settlement Services Corporation and issuer Prudential Insurance Company of America issued the Policy and issue payments. (Amended Petition, Exhibit 1.) Payee and Petitioner agreed to sell Payee's future lump sum payments totaling \$301,035.96 for \$112,000.00 (Amended Petition, Exhibit 5.) Payee's annuity indicates Payee receives \$14,000.00 periodic amount with the first payment on May 28, 2026, last payment on February 28, 2030 with other payments on May 28, August 28, November 28, and February 28 of each year in between. (Amended Petition, Exhibit 1.) Payee will also receive lump sum payments of \$50,000 on May 28, 2029, \$50,000 on May 28, 2033, and \$201,035.96 on May 28, 2038. (Ibid.)

The discounted present value is \$186,450.15 calculated by applying the discount rate of 2.2 percent utilized by the IRS to value annuities in probate proceedings. (Amended Petition, Exhibit 5.) This is equivalent to a 11.29% interest.

Petitioner provided a disclosure statement. (Amended Petition, Exhibit 6.)

Payee is 18 years old, single, with no dependents, and is unemployed. (Amended Petition, Exhibit 7.) Payee intends to use this money to pay for schooling and to place a portion with his financial advisor. (Ibid.) It is not meant to provide for future medical expenses or future living expenses. (Ibid.) He will still receive quarterly payments of \$14,000 as articulated above. (Ibid.)

Based on the information provided, the court finds that Petitioner has failed to establish that the proposed transfer is in the best interest of the Payee as required by Insurance Code section 10139.5. Although the stated purpose of the transfer is to fund schooling and invest a portion of the proceeds with a financial advisor, the petition provides virtually no information from which the court can meaningfully evaluate that assertion. The petition identifies no school or educational program, no evidence of admission or enrollment, no anticipated tuition or educational expenses, no budget, and no explanation why the requested transfer amount is reasonably necessary to accomplish those educational objectives. Without such evidence, the court cannot conclude that liquidating a substantial portion of the structured settlement is justified.

This absence of evidence is particularly significant given the Payee's circumstances. Payee is only 18 years old, unemployed, and proposes to relinquish future payments totaling approximately \$301,000 in exchange for an immediate payment of \$112,000, thereby foregoing more than \$200,000 in future benefits. While the court recognizes that the Payee will continue to receive certain periodic payments, the structured settlement was designed to provide long-term financial security. The substantial discount reflected in this transaction, coupled with the Payee's youth and the lack of any concrete educational or financial plan, raises a significant concern that the transfer primarily serves an immediate desire for liquidity rather than the Payee's long-term financial welfare.

The Structured Settlement Transfer Act places upon the court an independent obligation to protect settlement recipients from improvident transfers that sacrifice substantial future financial security for immediate cash without a demonstrated long-term benefit. On this record, Petitioner has not met the burden of demonstrating that this transfer is in the Payee's best interest.

Accordingly, the petition is DENIED without prejudice.

Should Petitioner elect to renew the request, the court expects competent evidence supporting the asserted educational need, including the proposed school or program, proof of admission or enrollment if available, anticipated costs, a proposed budget, and an explanation why the requested transfer amount is reasonably necessary to meet those expenses.

CONCLUSION:

For the foregoing reasons, the Court decides the pending motion as follows:

1. Petition to approve transfer of structured settlement rights is DENIED.

Moving party is to give notice.

IT IS SO ORDERED.

Dated: August 6, 2026 _____ Upinder
S. Kalra

Judge
of the Superior Court